CHAPTER 3

RECORDING OF TRANSACTIONS I

CHAPTER ESSENCE AT A GLANCE:
Master the fundamental accounting equation, dual debit and credit dynamics under traditional and modern classifications, journalizing in original entry books, and ledger posting and balancing.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Fundamental Accounting Equation:** Every transaction preserves the equilibrium where total assets equal liabilities plus owner capital, reflecting the dual aspect of economic resources and claims.

• **Modern Classification Rules:** Assets and expenses increase by debit and decrease by credit; liabilities, capital, and revenues increase by credit and decrease by debit.

• **Source Documents and Vouchers:** Accounting entries are strictly substantiated by verifiable documentary vouchers like cash memos, invoices, debit notes, and pay-in-slips.

• **Ledger Posting and Balancing:** The ledger groups all transactions related to a particular head into a T-shaped format, with balances carried down to ascertain net periodic status.

ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\text{Accounting Equation} = \text{Assets} = \text{Liabilities} + \text{Capital}$$
Fundamental Balance Sheet Equation

$$\text{Capital Expansion} = \text{Capital}_{\text{initial}} + \text{Revenues} - \text{Expenses} - \text{Drawings}$$
Expanded Accounting Equation Model

$$\text{Modern Debit Rules} = \uparrow \text{Assets}, \ \uparrow \text{Expenses} \iff \text{Debit}$$
Modern Asset and Expense Debit Criteria

$$\text{Modern Credit Rules} = \uparrow \text{Liabilities}, \ \uparrow \text{Capital}, \ \uparrow \text{Revenue} \iff \text{Credit}$$
Modern Liability, Capital, and Revenue Credit Criteria

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Drawings reduce the proprietor capital balance and must never be treated as an operating expense of the business.

• **Alert:** Goods taken by the proprietor for personal use or distributed as free samples reduce purchases and are credited to Purchases Account, not Sales Account.

• **Alert:** Personal expenses paid out of business funds are debited to Drawings Account, not to the individual expense head.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. State the modern rules of debit and credit for Asset and Liability accounts. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Asset Accounts:** Increase in asset is Debited; decrease in asset is Credited. [1 Mark]

• **Liability Accounts:** Increase in liability is Credited; decrease in liability is Debited. [1 Mark]

2. Explain what is meant by a Compound Journal Entry with one illustrative example. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** A journal entry that contains more than one debit or more than one credit when multiple transactions occur on the same date involving the same account head. [1 Mark]

• **Example:** Salary Paid Rs 5,000 and Rent Paid Rs 2,000 in cash: Debit Salary $\frac{A}{c}$ Rs 5,000, Debit Rent $\frac{A}{c}$ Rs 2,000, and Credit Cash $\frac{A}{c}$ Rs 7,000. [1 Mark]

3. Demonstrate the effect of the following transactions on the Accounting Equation: (a) Commenced business with cash Rs 50,000, (b) Purchased goods on credit Rs 20,000, (c) Sold goods costing Rs 10,000 for Rs 12,000 in cash. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Capital Introduction:** Assets (Cash) increases by Rs 50,000 = Capital increases by Rs 50,000. [1 Mark]

• **(b) Credit Purchase:** Assets (Stock) increases by Rs 20,000 = Liabilities (Creditors) increases by Rs 20,000. [1 Mark]

• **(c) Profitable Sale:** Assets (Cash) increases by Rs 12,000 and Stock decreases by Rs 10,000 (net Asset increase Rs 2,000) = Capital increases by profit Rs 2,000. Final equation: Assets (Rs 72,000) = Liabilities (Rs 20,000) + Capital (Rs 52,000). [1 Mark]

4. Explain the rules of debit and credit under traditional classification for Personal, Real, and Nominal accounts. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Personal Accounts:** Debit the receiver, Credit the giver. Relates to persons, firms, and representative personal accounts. [1 Mark]

• **Real Accounts:** Debit what comes in, Credit what goes out. Relates to tangible and intangible business property and assets. [1 Mark]

• **Nominal Accounts:** Debit all expenses and losses, Credit all incomes and gains. Relates to service and revenue operational heads. [1 Mark]

5. Pass journal entries for the following: (a) Goods costing Rs 3,000 destroyed by fire, (b) Goods worth Rs 1,000 distributed as free samples, (c) Goods costing Rs 2,000 taken by proprietor for domestic use. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Loss by Fire:** Debit Loss by Fire $\frac{A}{c}$ Rs 3,000 and Credit Purchases $\frac{A}{c}$ Rs 3,000 (abnormal loss credited to purchases). [1 Mark]

• **(b) Free Samples:** Debit Advertisement $\frac{A}{c}$ Rs 1,000 and Credit Purchases $\frac{A}{c}$ Rs 1,000 (marketing reduction of stock). [1 Mark]

• **(c) Proprietor Drawings:** Debit Drawings $\frac{A}{c}$ Rs 2,000 and Credit Purchases $\frac{A}{c}$ Rs 2,000 (owner personal consumption). [1 Mark]

6. What is Ledger posting? Explain the steps involved in balancing a ledger account. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Ledger Posting Definition:** The process of transferring debited and credited transaction amounts from the journal to their respective individual ledger accounts. [1 Mark]

• **Balancing Steps:** Total both debit and credit columns separately to identify the heavier side; compute the difference between the two totals. [1 Mark]

• **Closing and Carrying Forward:** Insert the difference as 'Balance $\frac{c}{d}$' on the lighter side to equalize both columns, then bring down the balance as 'Balance $\frac{b}{d}$' on the opposite heavier side for the next accounting period. [1 Mark]

7. Pass comprehensive journal entries in the books of Rajesh: (a) Started business with Cash Rs 1,00,000 and Goods Rs 40,000, (b) Sold goods to Suresh for Rs 30,000 at 10 percent trade discount, (c) Received cash from Suresh in full settlement after allowing 5 percent cash discount, (d) Paid rent Rs 5,000 and outstanding rent Rs 1,000. **[Score: 4 Marks]**

Answer & Key Valuation Steps:

• **(a) Capital Entry:** Debit Cash $\frac{A}{c}$ Rs 1,00,000, Debit Stock $\frac{A}{c}$ Rs 40,000, Credit Capital $\frac{A}{c}$ Rs 1,40,000. **[1 Mark]**

• **(b) Trade Discount Sale:** Trade discount (10 percent of Rs 30,000 = Rs 3,000) is deducted without separate ledger account. Debit Suresh $\frac{A}{c}$ Rs 27,000 and Credit Sales $\frac{A}{c}$ Rs 27,000. **[1 Mark]**

• **(c) Cash Discount Receipt:** Cash discount = 5 percent of Rs 27,000 = Rs 1,350. Net cash received = Rs 25,650. Debit Cash $\frac{A}{c}$ Rs 25,650, Debit Discount Allowed $\frac{A}{c}$ Rs 1,350, Credit Suresh $\frac{A}{c}$ Rs 27,000. **[1 Mark]**

• **(d) Rent Settlement:** Debit Rent $\frac{A}{c}$ Rs 5,000, Debit Outstanding Rent $\frac{A}{c}$ Rs 1,000, Credit Cash $\frac{A}{c}$ Rs 6,000. **[1 Mark]**